

CHAPTER 8

Introduction to Financial Markets

The markets, participants and roles that finance, price and hedge the real economy.



A MARKET LARGER THAN THE WORLD

Finance dwarfs the real economy

\$846T

in OTC derivatives, mid-2025

Many times the size of the entire global economy. Financial markets have grown far larger than the physical trade they were built to serve.

OTC derivatives (notional)

≈ \$846T

World GDP (annual)

≈ \$110T

Notional overstates true exposure — but the gap shows how vast the financial layer has become.

A layer on top of the real economy

Behind every barrel, share or loan sits a far larger web of contracts used to finance, price and hedge it.

Built to manage risk

These markets exist so risk can be moved to whoever is best able to carry it — and capital to wherever it is most needed.

What a financial market does



A place to exchange

Any arena, physical or electronic, where buyers and sellers trade assets — shares, bonds, currencies, commodities and their derivatives.



Capital & risk

Markets move capital from those who have it to those who need it — and risk from those who shed it to those willing to bear it.



Price discovery

By matching countless buyers and sellers, the market continuously sets one price reflecting all available information.



Liquidity

A good market lets you buy or sell quickly without moving the price much — what makes every other function possible.

The major markets

● **Equities**

MOST VISIBLE

Shares of ownership in companies, traded on stock exchanges — the market most visible to the public.

● **Fixed income**

LARGEST BY VALUE

Bonds and other debt, where borrowers pay lenders interest over time.

● **Foreign
exchange**

DEEPEST & MOST LIQUID

The trading of currencies — turning over trillions of dollars every day.

● **Commodities &
derivatives**

WHERE OIL LIVES

Physical goods plus the futures, options and swaps written on every asset class above.

Cash and derivatives

The cash (spot) market

Buying the asset itself for immediate delivery — you own the share, the bond or the barrel outright.

Options

The right, but not the obligation, to buy or sell at a set price — letting traders shape precise risk-and-reward profiles.

Futures & forwards

Agreements to trade an asset at a set price on a future date — the building block of commodity and financial risk management.

Swaps

Private contracts to exchange one stream of payments for another — the dominant instrument in the vast OTC market.

Exchanges, OTC and clearing



Exchange-traded

Standardized contracts on a central venue such as the CME — public prices and deep liquidity.

Over-the-counter (OTC)

Customized deals struck directly between two parties — far larger in notional, but less transparent and harder to exit.

Central clearing

A clearing house steps between buyer and seller, guaranteeing the trade and removing default risk.

Margin & collateral

Participants post collateral adjusted daily, so losses settle continuously rather than building up unseen.

Who is in the market

No market is a single crowd — it is a layered system of players with different goals, time horizons and tolerances for risk.

Commercials

Producers and consumers who manage the price of something they actually make or buy — an oil refiner, a farmer, an airline.

Financial players

Banks, funds and traders who supply capital and liquidity and seek profit from price movements.

Infrastructure

Exchanges, clearing houses, brokers and regulators that make the whole system function and keep it honest.

Hedgers and speculators

Hedger

reduces risk

Already has exposure — a cargo of oil, a foreign-currency bill — and uses the market to lock in a price and remove uncertainty.

RISK →



passes to the
other side

Speculator

takes risk

Has no underlying exposure — takes a position purely to profit from a price move, and in doing so absorbs the risk hedgers shed.

Two sides of one trade

For every hedger transferring risk, someone must take the other side. Speculators are what make hedging possible.

The balance matters

Too few speculators and hedgers can't find a counterparty; too many, and the market can drift from fundamentals.

The liquidity providers



Market makers

Continuously quote both a buy and a sell price, earning the small spread and ensuring there is always a counterparty.



Arbitrageurs

Profit from small price differences between related markets — and in closing those gaps keep prices consistent everywhere.



Dealers

Banks and trading houses that take the other side of client trades, warehousing risk until they can offset it.



Why they matter

Without them, spreads would widen, prices would gap, and entering or exiting a position would become slow and costly.

Intermediaries and institutions

Brokers

Agents who execute trades for clients without taking the position themselves — connecting buyers to sellers for a fee.

Banks

They lend, underwrite, clear payments, make markets and finance the physical trade that moves commodities worldwide.

Asset managers & funds

Pension, mutual and hedge funds that invest pools of capital — collectively the largest source of long-term money.

Commodity trading houses

Firms such as Vitol and Trafigura move physical barrels and hedge them in financial markets — bridging the two worlds.

The guardians of the market

Exchanges

They set the rules, list the contracts and provide the venue where prices form transparently and in public view.

Regulators

Bodies that oversee conduct, enforce disclosure and guard against manipulation, fraud and systemic risk.

Clearing houses

They guarantee every cleared trade and manage the collateral that stops a single default cascading through the system.

The result is trust

Together this infrastructure lets strangers transact billions safely — the quiet foundation every other role depends on.

CONCLUSION — ONE MARKET, MANY ROLES

Knowing who is on the other side of a trade is as important as the price itself.

Markets serve real needs

Beneath the scale, they exist to discover prices, move capital and transfer risk.

Every role has a purpose

Hedgers, speculators, market makers and brokers — remove any one and the market works less well.

Physical and financial meet

In commodities, one barrel sits at the center of a physical trade and a far larger financial market.